

durables, quick commerce, and FMCG significantly.

Expectations are the markets will now shift their focus back to global cues, bond and currency markets, flows from foreign institutional investors, RBI's stance on interest rate decisions, inflation outlook, and holistic economic growth.

"Over the last four months, ever since the world has been under the massive tariff threat from the US, inflation expectations have heightened there. This has led to an increase in the US 10-year bond yields and the appreciation of the dollar against most global currencies. This coincided with India's growth slowdown and the consequent FII-led sell-off," says Parakh, adding the Indian economy may be nearing the end of FII outflows.

On the other hand, US President Donald Trump's second term raises concerns about intensified trade tensions affecting India. "BFSI, IT, and pharmaceutical stocks reliant on US markets could face headwinds," says Vaibhav Porwal, Co-founder of investment firm Dezerv.

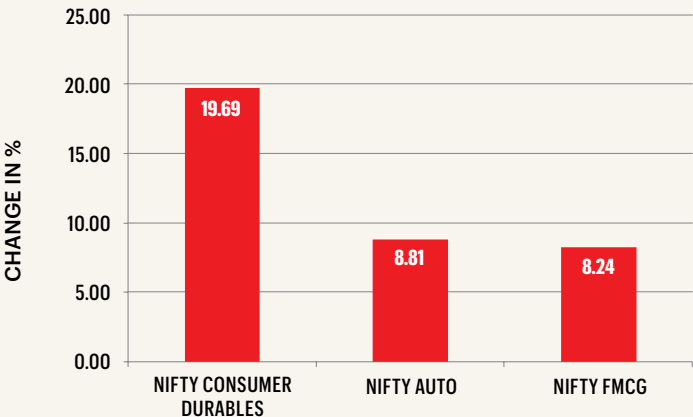
Parakh adds the new US President is clearly focussed on balancing the trade deficit with most countries through tariff actions. "We do not believe India will face the same blanket tariffs as other countries. However, India is not entirely immune to Trump's policies. With the recent correction, markets have already factored in the possibility of tariffs on India. In the absence of major tariffs, markets could see a sharp recovery in H2CY25," he says.

Amid the ongoing market sell-off, the large-cap 50-share Nifty index has dropped 9% between October 2024 and January 2025, while broader indices such as the Nifty Midcap 150 and Nifty Smallcap 250 have fallen by 11% and 13%, respectively, during the same period.

"We believe that large-cap-heavy portfolios will continue to create wealth for investors over a three-

EYES ON CONSUMPTION

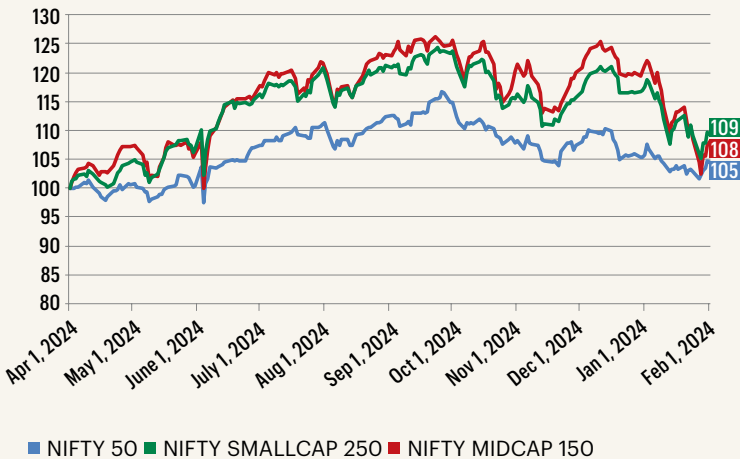
The Nifty Consumer Durables index outpaced other major consumer-oriented sectors in FY25



NOTE DATA AS OF FEBRUARY 1, 2025
SOURCE ACE EQUITY

A SOFT YEAR

Mid-caps and small-caps continued to outperform large-caps despite the recent selling since October 2024 in FY25



NOTE DATA INDEXED TO 100
SOURCE ACE EQUITY

year horizon," says Porwal.

The government is now banking on rekindling animal spirits and encouraging the private sector to take the lead in investments by prioritis-

ing consumption growth. Whether this will translate into a rally, only time will tell. **BT**

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